correctness of transactions and provide an assurance that accounts are properly maintained.

2. **Detection and Prevention of Errors and Frauds:** It helps in detecting and preventing errors and frauds in the books of accounts.
3. **Provides Assurance of Proper Accounting:** The trader is assured that his incomes are properly accounted and expenditures are properly vouched.
4. **Discovery of Defalcations:** He is also assured of not being defrauded by any of his employees or agents, as the defalcations are discovered by the auditor.
5. **Helps in Comparing Accounts:** The presentation of accounts on a uniform basis helps comparison of various classes of expenditure from year to year. In case the expenditure crosses the budgeted targets, causes for the same may be ascertained and remedial measures may be taken.
6. **Relied by Statutory Authorities:** The audited accounts are the reliable document of sole proprietor for income tax and wealth tax purposes.
7. **Helps in Settlement of Claims:** Audited accounts may also facilitate the settlement of various kinds of claims.
8. **Moral Check on Employees:** It enables to have a moral check among employees especially among dishonest staff.

3.3 Audit of Accounts of Partnership Firm

The Indian Partnership Act, 1932 does not require audit of a partnership firm. It is only optional and upto the interests of the partners. Considering the benefits of audit many firms get their accounts audited by a qualified auditor. The scope and conduct of audit and rights and duties of the auditors are determined on the basis of the agreement between the firm and auditor. While conducting audit of partnership firm the auditor must refer to the Deed of partnership.



3.3.1 Advantages

The following are some of the benefits in auditing the accounts of a partnership firm:

1. **Proper Maintenance of Accounts:** When accounts are audited, it provides an assurance that the books of accounts are maintained properly and financial statements give a true and fair view of state of affairs of the business.
2. **Detection of Errors and Frauds:** An audited accounts helps in quick and easy detection of errors and frauds.

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